Alphabet

Capex increase steals the spotlight from strong Cloud acceleration; Buy

Reiterate Rating: BUY | PO: 430.00 USD | Price: 342.09 USD

23 July 2026

Equity

2Q beat driven by Cloud upside; Search largely in-line

2Q Net Rev at $103.6bn beat Street at $101.1bn, driven by upside in Cloud, accelerating to 82% growth vs 65% expected. Search grew 17% y/y, and was just in line, tabling the N.T. AI upside thesis. 2Q OM at 39.3% was below Street at 40.3% impacted by higher G&A (expect some details in the 10-Q). However, Cloud margins 35.6% vs Street 31.3%, suggesting strong infrastructure returns, and limited mgn. impact from new TPU sales. 2Q EPS of $9.11 was above Street at $2.90 & benefited from 1x higher Other Income.

Higher capex but ROI case strengthened by Cloud accel.

To meet capacity demand, Google is accelerating capacity deployment and increased its FY26 capex guide by $15bn (~8%) to $195bn-$205bn. While the increase drove a negative AH stock reaction, we note several data points that suggest capacity driving strong returns, including: Strong $50bn 2Q q/q backlog growth to $514bn, well above the $15bn '26 capex increase, customer consumption exceeding commitments by >50% vs 45% in 1Q, GC is winning new customers at >2x the pace vs last year, and cloud margins were up 270bps q/q and almost 15pts y/y. More capacity = more sales.

Raising 2027 net revenue by 3% and EPS by 2%

We raise revs. to reflect higher Cloud, YouTube and Network growth offset by slightly lower Search & Sub. revs. We est 93% Cloud growth in 3Q. However, we also raise Cost of Revenue reflecting higher infrastructure costs & raise share count. For 3Q we raise revenue by 3% and EPS by 1% to $3.07 from $3.03. For 2027, we raise net revenue by 3% to $553bn and EPS by 2% to $15.01. Maintain our PO of $430 based on a higher '27 EPS & slightly lower 27x P/E multiple (vs 28x) given capex concerns for the sector.

Another strong Qtr validates AI differentiation; Buy

A solid Q that validates that 1) Search usage and monetization remains robust despite competiting AI engagement growth, 2) Gemini & TPUs remain competitive advantages, supporting Cloud margin growth & continued share gains, & 3) Incremental capex is directly accelerating growth. At the $332 AH price, GOOG is valued at ~22x our higher '27 GAAP EPS est, in line with historical avg despite recent acceleration. Next Catalysts: public launch of Gemini 3.5 Pro, new agentic features, ramp in TPU sales. Risks include: tougher 3Q comps, social media trials, OpenAI ad ramp, flow of funds into AI IPOs

Estimates (Dec) (US$)	2024A	2025A	2026E	2027E	2028E
EPS	8.04	10.81	20.58	15.01	18.58
EPS Change (YoY)	38.6%	34.5%	90.4%	-27.1%	23.8%
Consensus EPS (Bloomberg)			14.50	15.57	18.66
Consensus EPS (Visible Alpha)			20.33	14.51	17.34
DPS	0.60	0.63	0.71	0.78	0.87
EPS (GOOG - US$)	8.04	10.81	20.58	15.01	18.58
DPS (GOOG - US$)	0.60	0.63	0.71	0.78	0.87
Valuation (Dec)					
P/E	42.5x	31.6x	16.6x	22.8x	18.4x
Dividend Yield	0.2%	0.2%	0.2%	0.2%	0.3%
EV / EBITDA*	28.5x	24.5x	18.3x	13.8x	10.6x
Free Cash Flow Yield*	1.7%	1.7%	-0.4%	-0.4%	0.9%

* For full definitions of *iQmethod*SM measures, see page 13.

Key Changes

(US$)	Previous	Current
2026E Rev (m)	426,879.8	433,587.4
2027E Rev (m)	536,557.4	552,793.7
2028E Rev (m)	677,541.2	701,204.7
2026E EPS	19.70	20.58
2027E EPS	14.70	15.01
2028E EPS	18.12	18.58
2026E DPS	0.72	0.71

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Stock Data

Price (NAS / NAS)	342.09 USD / 341.91 USD
Price Objective	430.00 USD / 430.00 USD
Date Established	30-Apr-2026 / 30-Apr-2026
Investment Opinion	B-1-7 / B-1-7
52-Week Range	187.82 USD - 408.61 USD
Market Value (mn)	4,247,047 USD
Free Float	98.8%
Average Daily Value	11334.49 USD
Shares Outstanding (mn)	12,415.0 / 12,415.0
BofA Ticker / Exchange	GOOGL / NAS
BofA Ticker / Exchange	GOOG / NAS
Bloomberg / Reuters	GOOGL US / GOOGL.OQ
ROE (2026E)	43.5%
Net Dbt to Eqty (Dec-2025A)	8.9%

GCP: Google Cloud Platform
OM: Operating Margins
AIO: AI Overviews
SOTP: Sum of the parts

Refer to important disclosures on page 14 to 17. Analyst Certification on page 12. Price Objective Basis/Risk on page 12. **12997585**

iQprofile SM Alphabet

iQ*method SM – Bus Performance

(US$ Millions)	2024A	2025A	2026E	2027E	2028E
Return on Capital Employed	37.2%	37.6%	40.0%	22.0%	22.3%
Return on Equity	35.3%	37.8%	43.5%	22.1%	21.7%
Operating Margin	45.8%	44.9%	47.0%	47.0%	46.6%
Free Cash Flow	72,764	73,266	(16,071)	(18,466)	36,815

iQ*method SM – Quality of Earnings

(US$ Millions)	2024A	2025A	2026E	2027E	2028E
Cash Realization Ratio	1.3x	1.2x	0.7x	1.5x	1.6x
Asset Replacement Ratio	3.4x	4.3x	6.5x	5.9x	4.3x
Tax Rate	16.4%	16.8%	18.4%	16.7%	16.7%
Net Debt-to-Equity Ratio	1.7%	8.9%	11.1%	8.6%	6.4%
Interest Cover	NA	NA	NA	NA	NA

Income Statement Data (Dec)

(US$ Millions)	2024A	2025A	2026E	2027E	2028E
Sales	295,118	342,910	433,587	552,794	701,205
% Change	15.1%	16.2%	26.4%	27.5%	26.8%
Gross Profit	203,712	240,301	305,168	383,068	476,375
% Change	17.0%	18.0%	27.0%	25.5%	24.4%
EBITDA	150,486	175,128	234,771	310,713	405,545
% Change	21.9%	16.4%	34.1%	32.3%	30.5%
Net Interest & Other Income	(15,360)	4,834	108,057	(32,043)	(41,343)
Net Income (Adjusted)	**100,076**	**132,206**	**254,680**	**189,884**	**237,717**
% Change	**35.6%**	**32.1%**	**92.6%**	**-25.4%**	**25.2%**

Free Cash Flow Data (Dec)

(US$ Millions)	2024A	2025A	2026E	2027E	2028E
Net Income from Cont Operations (GAAP)	100,118	132,170	254,626	189,882	237,726
Depreciation & Amortization	15,311	21,136	30,914	50,736	78,836
Change in Working Capital	(9,343)	618	(17,865)	1,321	4,533
Deferred Taxation Charge	NA	NA	NA	NA	NA
Other Adjustments, Net	19,213	10,789	(84,258)	40,168	57,468
Capital Expenditure	(52,535)	(91,447)	(199,488)	(300,573)	(341,749)
Free Cash Flow	**72,764**	**73,266**	**-16,071**	**-18,466**	**36,815**
% Change	**4.7%**	**0.7%**	**NM**	**-14.9%**	**NM**
Share / Issue Repurchase	(8,879)	(2,269)	(25,502)	(17,500)	(19,100)
Cost of Dividends Paid	(7,363)	(7,616)	(8,651)	(9,774)	(10,952)
Change in Debt	(2,423)	(6,333)	(11,328)	0	0

Balance Sheet Data (Dec)

(US$ Millions)	2024A	2025A	2026E	2027E	2028E
Cash & Equivalents	24,048	30,708	48,619	49,874	53,251
Trade Receivables	47,964	62,886	79,834	101,660	127,937
Other Current Assets	99,518	112,444	224,777	188,311	195,100
Property, Plant & Equipment	134,345	246,597	422,774	672,638	935,609
Other Non-Current Assets	96,517	142,646	257,647	258,447	259,247
Total Assets	**402,392**	**595,281**	**1,033,652**	**1,270,930**	**1,571,144**
Short-Term Debt	0	0	0	0	0
Other Current Liabilities	81,814	102,745	123,651	152,129	189,525
Long-Term Debt	28,725	67,740	132,473	132,273	132,073
Other Non-Current Liabilities	8,474	9,531	22,819	22,819	22,819
Total Liabilities	**119,013**	**180,016**	**278,943**	**307,221**	**344,417**
Total Equity	**283,379**	**415,265**	**754,709**	**963,709**	**1,226,727**
Total Equity & Liabilities	**402,392**	**595,281**	**1,033,652**	**1,270,930**	**1,571,144**

* For full definitions of *iQmethod* SM measures, see page 13.

Company Sector

Internet/e-Commerce

Company Description

Alphabet is a global technology company focused on key areas, such as search, advertising, operating systems and platforms, enterprise and hardware products. The company generates revenue primarily by delivering online advertising and by selling apps and content on Google Play as well as hardware products. The company provides its products and services in more than 100 languages and in 190 countries, regions, and territories.

Investment Rationale

We see Alphabet as well positioned long term with leading AI technology to apply to search, YouTube, and Cloud businesses. Alphabet should also benefit from increasing mobile usage, video usage, Google Play activity, and connected device activity (including autos). We believe that Alphabet should trade at a premium to a media peer group given technology leadership, high margins, and strong cash flow generation for buybacks.

Stock Data

Average Daily Volume	33,133,056
Shares / Common - Dual Listed	1.00

Quarterly Earnings Estimates

	2025	2026
Q1	2.81A	5.11A
Q2	2.31A	9.11A
Q3	2.87A	3.07E
Q4	2.82A	3.33E

Key Changes

(US$)	Previous	Current
2026E EPS	19.70	20.58
2027E EPS	14.70	15.01
2028E EPS	18.12	18.58
2026E DPS	0.72	0.71

2Q Summary and thoughts on the stock

Google reported a strong 2Q that we believe met Search and exceeded Cloud expectations. The quarter was highlighted by accelerating Cloud growth (82% vs. 63% in 1Q), expanding Cloud margins (35.6% vs 32.9% in 1Q) and healthy backlog growth (up 11% q/q and 375% y/y), underscoring accleerating enterprise demand for AI infrastructure and services. 2Q Search revenues grew 17% y/y and was largely in line with Street, a modest negative after a strong 1Q. YouTube revenues grew 13% y/y (vs Street 10%) aided by World Cup actitivity. Margins missed, primarly due to 1x legal and other (non-disclosed) items in G&A. Quarter was not as clean as recent prior quarters.

Despite strong 2Q headline results, the stock was down ~3% in the AH, likely due to higher capex outlook ($195-$205 vs $189-$190 previosly), lack of upside on Search revenues, call commentary that suggested thougher comps for search in 3Q and possible modest margin pressure from capacity leasing at high rates, and expected continued pressure on FCF from capacity investment (which could suggest for negative FCF). However, management's commentary appeared constructive on the 3Q demand environment, and we believe added capacity from capex and capacity leasing will translate directly into further cloud revenue acceleration in 2H'26.

In our view, the quarter reinforces the thesis that: 1) Google Search remains a net AI beneficiary, despite robust AI engagement growth on other platforms, as revenue growth continues to outpace growth in 2023-2025, 2) Gemini and Google's TPU infrastructure continue to represent important competitive advantages for Google Cloud and are driving higher margins and market share growth, and 3) Ongoing data center capacity expansion and near-term use of third party capacity are driving incremental Cloud deal activity for Google, and will drive revenue acceleration in 2H'26. Risks are: Tough 3Q comps drive deceleration in search growth, YouTube user harms highlighted at upcoming social media trials, OpenAI's ad ramp, high-profile model and product launches by competitors, flow of funds to AI IPOs.

Why to buy the stock here:

- **Further Cloud acceleration and upside:** Google Cloud has been growing well above the broader industry, and we see potential for further Cloud upside, driven by: 1) new capacity coming online accelerating backlog conversion, 2) growing traction of Google's differentiated AI assets (Gemini and TPUs) that offer potential performance and cost advantages, and 3) ramp of external TPU sales. Google's 2Q backlog of $514bn suggests Google Cloud will generate at least ~$257bn in sales over the next 8 quarters, and this this doesn't include upside vs commitments, "spot" revenues, and new deals that Google is likely to sign.

- **Potential Search upside:** With a growing share of queries served in AI-native formats (AI Overviews, AI Mode, and Gemini), we see potential for Search upside driven by: 1) improving models supporting higher Search usage and query volume growth, 2) stronger pricing as advertisers compete for higher-intent AI placements, 3) better intent understanding that improves targeting and lifts the share of commercial queries, and 4) new AI-native ad formats that expand ad load and monetize zero-click queries. We think new AI ad formats (announced at Marketing Live), rollout of agentic capabilities & monetization of Gemini app (950mn MAUs) with advertising could be potential growth catalysts over the medium term.

- **Compelling AI catalyst path from here:** We see a near-term catalyst path, anchored by public launch of Gemini 3.5 Pro, new AI ad fomats, rollout of agentic search features and Universal Shopping Cart announced at I/O, Fall launch of Gemini 4, potential details on external TPU monetization.

- **Attractive core valuation:** At AH GOOG price of $332, Alphabet is trading at ~22x our revised 2027 GAAP EPS. This multiple is in line with Google's historical average despite our outlook for 27% 2027 revenue growth, well above the 2023-2025 average of 14%. In our sum of parts analysis, Google's core ad and Google Play businesses are valued at 13x vs S&P 500 at 20x.

Overall, we think Alphabet remains well positioned to drive outsized growth given positioning across foundational models, custom silicon, consumer distribution, and enterprise distribution. As both consumer and enterprise adoption of AI services increases, especially for Cloud, it could support more durable revenue growth (less cyclical) and a higher valuation. Reit Buy.

Key drivers for the stock (revenue trends, y/y core margin trends, use of capital and new disclosures, and relative growth vs competition) were mostly positive in 4Q.

1. **Revenue Trajectory: Positive**
   - **Net revenue (beat):** grew 27% (vs Street 24%), accelerating 3pts q/q on 2pts tougher y/y comp,
   - **Search (inline):** grew 17% y/y (in line with Street), decelerating 2pts on 2pts tougher y/y comp; ex-FX, we estimate, growth was stable q/q at 15% on 1pts easier y/y comp,
   - **YouTube (beat):** grew 13% y/y (vs Street 10%) accelerating 2pts q/q on 3pts tougher comp, and
   - **Cloud (beat):** grew 82% (vs Street 65%) accelerating 19pts q/q on a 4pt tougher y/y comp.
2. **Margin Trajectory: Nuetral**
   - **GAAP operating margins:** 39.3% (vs Street 40.3%), up 108bps y/y (and down 258bps q/q)
   - **Core services margins:** 41.8% (vs Street 43.0%) due to G&A legal costs
   - **Cloud margins**: 35.6% (vs Street 31.3%)
   - **Opex:** $33.1bn (up 27% y/y) vs Street $30.8bn; G&A impacted certain legal and other maters (not disclosed)
   - **Headcount:** 198.9K (up 6% y/y and 4,265 q/q) vs Street 196.5K
   - **D&A:** $7.1bn (up 42% y/y) vs Street $8.0bn
3. **Capital Allocation: Neutral to negative**
   - **Share buybacks:** Alphabet did not repurchase any shares in 2Q, and 2Q FCF was negative $5.9bn. Given elevated investment spend, we do not expect any buybacks for the remainder of 2026. Following the $45bn hybrid capital raise completed in early June, Alphabet plans to launch a $40bn at-the-market equity program in 3Q. As a result, we forecast diluted 2H share count to increase.
   - **Dividend:** unchanged at $0.22 per share.
4. **Relative growth vs competition: Positive**
   - **Advertising:** Google properties revenue (ex-FX) grew 15% y/y, stable q/q on a 1pt easier y/y comp. vs Meta Advertising (ex-FX) expected revenue growth of 26% (vs 29% in 1Q), on 2pt tougher comp.
   - **Cloud:** Google Cloud grew 82% y/y (vs Street 65%), accelerating 19pts q/q on 4pts tougher y/y comp vs Street expectations for Azure to accelerate 1pts q/q to 40% on 6pts tougher comp and AWS to accelerate 3pts q/q to 31% on stable y/y comp. We estimate Cloud growth ex-workspace was over 104%. TPU sales contributed to growth in the quarter, although Google indicated growth would have meaningfully accelerated without TPU sales.

2Q Positives:

- **2Q Rev/EPS beat:** 2Q net revenue of $103.6bn and GAAP EPS at $9.11 was above Street estimates at $101.2bn and $2.90 respectively. Revenue upside was driven by strength Cloud, YouTube and Netwrok offset by miss on Subscription revenues. EPS benefited from higher revenues and other income of $98.0 due to Anthropic revaluation (vs Street $0.8bn).

- **Cloud revenue beat and acceleration:** 2Q cloud revenue at $24.8bn (up 82% y/y) was above Street at $22.5bn (up 65% y/y). Google Cloud operating income increased to $8.8bn and operating margin increased to 35.6% (vs Street 31.3%). A portion of 2Q q/q Cloud growth represented contracted TPU sales to external customers, a new, potentially large, and profitable business for Google.

- **Strong cloud deal activity:** Google Cloud's backlog increased 11% q/q and ~375% y/y, reaching $514bn at the end of 2Q'26. Management noted strong momentum in Cloud demand (winning new cloud customers at more than 2x the pace of last year) and noted customers are exceeding contractual commitments by >50% (vs 45% in 1Q). To support accelerated data center server buildout to meet demand, Alphabet increased its FY26 capex outlook to $195-$205bn.

- **YouTube upside:** 2Q YouTube revenue at $11.1bn was above Street at $10.8bn. Management noted YouTube growth was driven by DR and brand and was also positively impacted by FIFA worldcup. Small and medium-sized businesses continue to drive YouTube direct response growth, supported by products such as Demand Gen.

- **AI tools driving higher conversion:** Management noted advertisers using AI-powered campaigns such as AI Max and Performance Max achieve, on average, 15% more conversions or conversion value at a similar ROAS.

- **Rapdily ramping Gemini & Cloud usage:** Management highlighted Google model APIs are now processing approximately 22bn tokens per minute, up from 16bn just one quarter ago. Google's agentic development platform, AntiGravity, now has more than 2.4mn weekly active users.

- **Declining AI search unit costs:** Management noted engineering and hardware optimizations reduced the cost of AI Mode responses to their lowest level since launch. AI Mode has surpassed 1bn monthly active users.

- **Growing commercialization of Other Bets:** Management highlighted Wing has safely completed more than 1mn home deliveries and continues to expand through partnerships with Walmart, DoorDash, and Papa Johns.

- **New models likely coming soon:** Gemini Pro is being tested as is expected soon, while the company has begun training Gemini 4.

2Q Negatives:

- **In-line Search revenues:** 2Q Search revenue sof $63.3bn (+17% y/y) were line with Street estimates, possibly taking away the near-term AI upside case after a beat last quarter. Management noted retail and financial services contributed the largest share of Search growth in 2Q. We think lack of Search upside partly weighed on AH stock sentment.

- **Miss on subscription revenues:** 2Q Subscription, Platform and Devices revenues at $12.9bn (up 15%) missed Street expectations at $13.0bn.

- **Outlook for higher capex and negative FCF:** Alphabet increased FY26 capex by $15bn (~8%) $195-$205bn (vs Street estimates of $187bn and previous guidance of $180-$190bn) to support accelerated data center buildout. We estimate D&A will be up 46% y/y in 2026 (vs +38% y/y in 2025) and FCF will be negative in 3Q and negative $16bn for full year 2026. We also estimate negative FCF in 2027.

- **No share buybacks, further dilution:** Alphabet did not repurchase any shares in 2Q. Given elevated investment spend, we do not expect any buybacks for the remainder of 2026. Following the $45bn hybrid capital raise completed in early June, Alphabet plans to launch a $40bn at-the-market equity program in 3Q. As a result, we forecast diluted share count to increase 1% q/q in 3Q. Diluted share count increased 0.6% q/q in 2Q.
- **Higher expenses:** 2Q operating expenses at $33.1bn were above Street estimates at $30.8bn driven by higher G&A ($6.5bn vs Street $5.1bn) and R&D ($18.2bn vs Street $17.5bn). Management noted higher D&A and employee cost impacting expenses. G&A included certain legal and other matters, which could be one-time (not disclosed, but could be more in 10-Q).
- **Headcount above estimates:** 2Q headcount at 198.9K (up 6% y/y, +4,265 q/q) was above Street at 196.5K and could create future margin headwinds.

Read-across for Amazon AWS

AWS - Google Cloud beat, q/q trends a positive capacity read across for AWS

In 2Q, Google Cloud revenue grew 82% y/y (vs Street 65%), with growth accelerating 19pts q/q on 4pts tougher y/y comp. While we do not expect AWS to see a similar benefit from chip sales, we see Google results as a positive read across for AWS revenues, as increasing capacity should drive an strong acceleration for AWS revenues both in 2Q and 2H'26. However, the magnitude of Google's 2Q growth acceleration, and the $4.7bn in q/q revenue growth, will likely outperform AWS. We estimate a 5pt acceleration in Amazon AWS growth to 33% in 2Q on stable y/y comp., vs Street at 31%, and we think upside to BofA is possible based on Google results. However, we also think a modest increase in Amazon's 2026 capex outlook is likely.

Capex Read Across for Meta

Alphabet raised its FY26 capex guidance by $15bn, or ~8%, to $195bn-$205bn from $180bn-$190bn, citing a capacity-constrained environment and accelerating Cloud demand. The company also reiterated its expectation for significantly higher capex in FY27. We estimate Alphabet's capex of ~$200bn in 2026 and estimate an increase of 51% y/y, or ~$100bn y/y, to ~$300bn in 2027. Given similar capacity constraints and potential cost pressures across the AI infrastructure supply chain, we also see potential for Meta to raise and tighten its FY26 capex outlook to $135bn-$150bn from $125bn-$145bn.

Advertising Read Across

Meta – Solid 2Q YouTube beat and stable ex-FX Search growth, a positive read

We view Google's 2Q ad results (inline Search with stable ex-FX growth and YouTube beat) as a positive read-through for Meta. YouTube revenues grew 13% y/y in 2Q (vs Street at 10%) and had a modest 2pt q/q acceleration in 2Q (on an 3pt tougher y/y comp). We estimate Google Properties ex-FX growth was stable q/q in 2Q at around 15% on 1pts easier comp.

For 2Q'26, we estimate Meta's advertising revenue growth to decelerate 6pts q/q on 5pts tougher y/y comp to $59.3bn (up 27% y/y) vs Street $58.9bn. On an ex-FX basis, we expect Meta's 2Q ad growth to decelerate 3pts q/q on 2pts tougher y/y comp. We think Meta could report total revenue at or above the upper end of its 2Q revenue guidance range (which was $61.0bn), which compares to Street at $60.2bn.

Network rev. & YouTube beat, modest positive read across for SMID platforms
We think Google network ($7.3bn vs Street $7.1bn) and YouTube beat ($11.1bn vs Street $10.8bn) are a slightly positive read across for SMID platforms (Pinterest, Snap), as results suggest a stable to positive ad environment (vs higher uncertainty in April). In 2Q, Google network revenue growth accelerated 3pts to down 1% y/y on a 1pt tougher y/y comp, while YouTube growth was relatively stable ex-FX at 15%E on a 1pt easier y/y comp.

Pinterest: For 2Q'26, we expect Pinterest revenue growth to decelerate 2pt q/q to 16% y/y on a 1pt difficult y/y comp, with revenues of $1,154mn (vs Street $1,148mn, up 16% y/y). As Google's results suggest a stable ad market with 2Q, think Pinterst could report modest upside to Street 2Q estimates.

Potential factors that could drive 2Q upside include: improved go-to-market execution, stronger ad spend from large retailers, lapping tariff-related headwinds, increasing traction for new DR and measurement solutions, including Performance+, dynamic creative optimization and ROAS-based bidding, and ramp of 3P partnerships. Key risks include: pressure in the CPG vertical, share loss of large retailer budgets, and a lower than expected ramp in new AI products.

Snap: For 2Q'26, we expect Snap ad revenue growth to accelerate 2pts q/q to 5% y/y on 5pts easier comp, with ad revenues of $1,234mn (vs Street $1,233mn, up 5% y/y). With ad market stability suggested in Google's results, we see potential for upside to our and Street 2Q estimates.

Potential positive factors for Snap in 2Q could include: growing traction with SMB advertisers and DR solutions, stronger than expected Snapchat+ adoption, and ramping monetization from Sponsored Snaps. Risks include softness among large advertisers in North America, potential brand ad pressure from geopolitical uncertainty and Snap's relatively higher exposure to the Middle East, and a slower than expected ramp of Sponsored Snaps and new DR solutions due to ROI variability.

Reddit: Consistent with prior quarters, we don't see Google results as a good read across for Reddit given the early stage of advertising adoption. For 2Q'26, we expect Reddit ad revenue growth to decelerate 27pts q/q to 47% y/y on a 23pts more difficult y/y comp. We estimate 2Q ad revenues of $685mn (vs Street $688mn) and total revenue of $724mn, up 45% y/y (vs Street $732mn). Given Reddit's comments on limited macro impact at the June BofA Tech. conference, we see upside potential to Street revenue estimates.

Valuation

PO change: We maintain our PO at $430 based based on 2% higher adjusted 2027 GAAP EPS of $15.55 (excludes other Bets) and and a slightly lower 27x multiple reflecting Street capex concerns, plus cash. We think Alphabet deserves a premium to the market and recent average historical multiples given accelerating growth vs the 2023-2025 period.

Exhibit 1: We maintain our PO at $430
Alphabet valuation

	2027 GAAP
Other Bets losses (mn)	($8,946)
Estimated Tax Savings	$1,521
Other Bets Losses ex-Tax	($7,425)
2026 Diluted Shares	12,375
GAAP EPS Impact	($0.60)
2027E Total GAAP EPS	$15.01
Implied GAAP P/E	29x
Adjusted EPS*	$15.55
Applying a target PE multiple	27x
Implied Target Price / Share	$419
Plus YE26 cash/share	$11
Implied Target Price / Share	$430

Source: BofA Global Research

BofA GLOBAL RESEARCH

Sum of the parts valuation

At the AH GOOG stock price of ~$332, Alphabet stock valued at 22x our revised GAAP 2027 EPS, vs a 14-year historical range of 13-30x and 10-year average of 22x. Backing out our estimated values for YouTube, YouTube Subscription, Cloud, Waymo, and cash, as well as the potential earnings contribution from YouTube, and ~$7.4bn in after-tax losses from Other Bets investments, we estimate the implied valuation on core Google advertising and Play businesses at 13x 2026E earnings, a discount to the S&P 500 at 20x.

Exhibit 2: Sum-of-the-Parts and Core Valuation Analysis on 2027 estimates
Alphabet core services sum-of-the-parts valuation analysis based on GOOG share price of ~$332

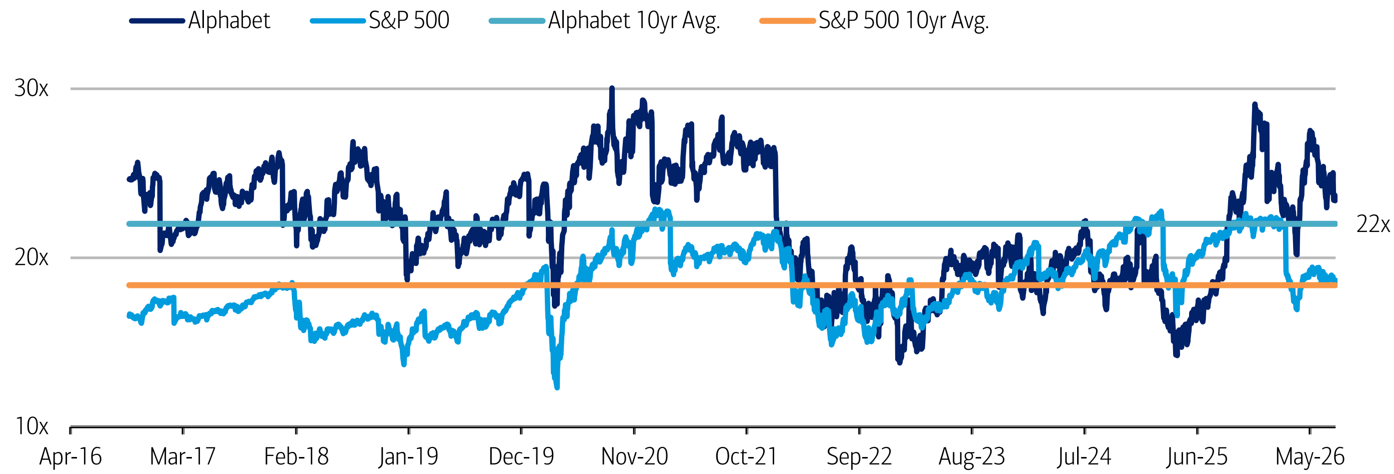
Alphabet Sum of the Parts Valuation (2027 Estimates)						
	Mkt Cap	Net Revenue	P/S	Net income	P/E	Comment
Alphabet Total	$4,109	$553	7.4x	$190	22x	
YouTube	($200)	($50)		($6.2)	32x	4.0x revenues (peers at 3-5x), assumes 15% profit margin and a 17% tax rate
Subscription	($173)	($43)		($3.6)		Assumes 4x P/S multiple and 10% margin & 17% tax rate
Google Cloud	($1,909)	($191)		($56.4)	34x	Assumes 10x P/S and 36% margins in 2027 and a 17% tax rate
Waymo	($83)	$0		$0.0		Reflects time horizon, potential technology value at $110bn valuation and 75% stake
Other Bets losses		($2)		$7.4		Waymo loss included, and incorporates a 17% tax rate
YE'26 Net Cash & Equivalents	($137)			($3.4)		Excludes net cash, est. 3% interest income and 17% tax rate
Google core services	$1,608	$267	6.0x	$128	13x	

Source: BofA Global Research estimates

BofA GLOBAL RESEARCH

At the AH price of ~$332, Alphabet trading at 22x our revised 2027 GAAP EPS vs a 2yr forward GAAP PE historical average of 22x and 10-year historical range of 14-30x. In the last 10yrs, Alphabet has traded at an average 4pts premium to S&P 500 which is now valued 20x (assuming 2027 GAAP EPS of $375).

Exhibit 3: At the AH price of ~$332, Alphabet is currently valued at 22x our revised 2027 GAAP EPS
Alphabet & S&P 500 2yr Forward GAAP PE Multiple



Source: Bloomberg

BofA GLOBAL RESEARCH

Estimate changes

We are raising our estimates to reflect higher Cloud, YouTube and Network growth offset by slightly lower Search and Subscription growth. We are also raising Other Cost of Revenue reflecting incremental capacity spend. We are raising 2026 net revenue by 2% to $434bn and EPS by 4% to $20.58. For 2027, we are raising net revenue by 3% to $553bn and EPS by 2% to $15.01. In 2026, we estimate Capex of ~$200bn, D&A of ~$31bn (up 46% y/y) and FCF at negative $16bn.

Exhibit 5: We are raising our 2027 GAAP EPS estimate, key for valuation, by 2% to $15.01
Alphabet Estimate Changes

	3Q'26 Estimates			4Q'26 Estimates			2026 Estimates			2027 Estimates		
	Old	New	Change	Old	New	Change	Old	New	Change	Old	New	Change
Google Search	$64,693	$64,693	$0	$71,673	$71,282	($391)	$260,323	$259,644	($678)	$290,035	$289,535	($499)
YouTube	$11,184	$11,287	$103	$12,635	$12,749	$114	$44,478	$44,974	$496	$48,926	$49,921	$995
Google Network Websites	$7,133	$7,280	$147	$7,671	$7,671	$0	$28,836	$29,226	$390	$27,971	$28,641	$671
Google Cloud	$26,499	$29,287	$2,789	$31,207	$34,353	$3,146	$100,947	$108,437	$7,490	$173,933	$190,881	$16,948
Subscription, platforms and devices	$15,304	$14,802	($502)	$15,758	$15,361	($397)	$56,786	$55,458	($1,328)	$65,785	$63,328	($2,457)
Google Gross Revenue	$124,813	$127,350	$2,536	$138,945	$141,416	$2,471	$491,369	$497,739	$6,369	$606,650	$622,307	$15,657
Traffic Acquisition Costs (TAC)	$16,371	$16,386	$15	$18,061	$17,973	($87)	$65,707	$65,766	$60	$71,546	$71,163	($383)
Google Net Revenue (ex-TAC)	$108,809	$111,421	$2,612	$121,260	$123,881	$2,621	$426,880	$433,587	$6,708	$536,557	$552,794	$16,236
Y/Y	*24%*	*27%*	*3.0%*	*25%*	*27%*	*2.7%*	*24%*	*26%*	*2.0%*	*26%*	*27%*	*1.8%*
Other Bets Revenues	$316	$358	$41	$352	$389	$37	$1,422	$1,539	$117	$1,404	$1,600	$197
Y/Y	*-8%*	*4%*	*12.0%*	*-5%*	*5%*	*10.0%*	*-7%*	*0%*	*7.6%*	*-1%*	*4%*	*5.3%*
Consolidated Gross Revenue	$125,180	$127,807	$2,627	$139,321	$141,855	$2,533	$492,587	$499,354	$6,767	$608,103	$623,957	$15,853
Consolidated Net Revenue (ex-TAC)	$108,809	$111,421	$2,612	$121,260	$123,881	$2,621	$426,880	$433,587	$6,708	$536,557	$552,794	$16,236
Y/Y	24%	27%	3%	25%	27%	3%	24%	26%	2%	26%	27%	2%
Other Costs of Revenue	$32,434	$33,931	$1,496	$36,651	$38,681	$2,030	$124,036	$128,419	$4,383	$157,285	$169,726	$12,441
Gross Profit	$76,374	$77,490	$1,116	$84,610	$85,200	$590	$302,844	$305,168	$2,325	$379,273	$383,068	$3,795
Gross Profit Margin	*70.2%*	*69.5%*	*-0.6%*	*69.8%*	*68.8%*	*-1.0%*	*70.9%*	*70.4%*	*-0.6%*	*70.7%*	*69.3%*	*-1.4%*
Research and Dev.	$19,772	$19,859	$87	$22,935	$21,646	($1,289)	$77,878	$76,756	($1,122)	$103,430	$100,456	($2,974)
Sales and Mktg	$8,758	$8,487	($271)	$9,896	$9,633	($263)	$34,930	$34,129	($802)	$40,571	$39,492	($1,079)
G & A	$4,820	$5,169	$349	$5,591	$6,047	$457	$19,336	$21,968	$2,633	$20,812	$22,512	$1,700
Total Operating Expenses	$33,349	$33,515	$166	$38,422	$37,326	($1,096)	$132,144	$132,853	$709	$164,813	$162,459	($2,353)
% of net rev	*31%*	*30%*	*-1%*	*32%*	*30%*	*-2%*	*31%*	*31%*	*0%*	*31%*	*29%*	*-1%*
Operating Income - GAAP	$43,026	$43,976	$950	$46,188	$47,874	$1,686	$170,700	$172,315	$1,616	$214,460	$220,609	$6,148
Margin	*40%*	*39%*	*0%*	*38%*	*39%*	*1%*	*40%*	*40%*	*0%*	*40%*	*40%*	*0%*
Incremental Margin	*55%*	*53%*	*-2%*	*43%*	*45%*	*2%*	*50%*	*48%*	*-2%*	*40%*	*41%*	*1%*
SBC	$7,501	$8,157	$656	$8,021	$8,677	$656	$29,574	$31,542	$1,968	$35,044	$39,368	$4,324
Operating Income - non-GAAP	$50,527	$52,133	$1,606	$54,209	$56,551	$2,342	$200,274	$203,857	$3,584	$249,504	$259,977	$10,472
% of net rev	*46.4%*	*46.8%*	*0.4%*	*44.7%*	*45.6%*	*0.9%*	*46.9%*	*47.0%*	*0.1%*	*46.5%*	*47.0%*	*0.5%*
D&A	$8,492	$8,014	($478)	$9,892	$9,314	($578)	$32,248	$30,914	($1,334)	$52,948	$50,736	($2,212)
Stock-based Compensation	$7,501	$8,157	$656	$8,021	$8,677	$656	$29,574	$31,542	$1,968	$35,044	$39,368	$4,324
Adj. EBITDA	$59,019	$60,147	$1,128	$64,101	$65,865	$1,764	$232,522	$234,771	$2,250	$302,452	$310,713	$8,260
Margin	*54.2%*	*54.0%*	*-0.3%*	*52.9%*	*53.2%*	*0.3%*	*54.5%*	*54.1%*	*-0.3%*	*56.4%*	*56.2%*	*-0.2%*
Interest income and other, net	$2,000	$1,800	($200)	$2,100	$2,100	$0	$123,516	$139,599	$16,083	$7,325	$7,325	$0
Income pre-tax and acct. change	$45,026	$45,776	$750	$48,288	$49,974	$1,686	$294,216	$311,914	$17,699	$221,785	$227,934	$6,148
Provision for tax	$7,474	$7,599	$125	$8,016	$8,296	$280	$50,823	$57,288	$6,465	$37,024	$38,052	$1,028
Effective tax rate (Reported)	*16.6%*	*16.6%*	*0.0%*	*16.6%*	*16.6%*	*0.0%*	*17.3%*	*18.4%*	*1.1%*	*16.7%*	*16.7%*	*0.0%*
Net income - GAAP	$37,551	$38,177	$626	$40,272	$41,678	$1,406	$243,392	$254,626	$11,234	$184,761	$189,882	$5,121
Net income - non-GAAP	$43,777	$44,947	$1,170	$46,961	$48,915	$1,953	$267,854	$280,524	$12,670	$213,918	$222,637	$8,718
Diluted GAAP EPS	$3.03	$3.07	$0.05	$3.23	$3.33	$0.10	$19.70	$20.58	$0.88	$14.70	$15.01	$0.31
Diluted shares	12,408	12,427	19	12,486	12,527	41	12,356	12,375	19	12,566	12,650	84
Capital expenditures	$53,316	$55,711	$2,394	$57,283	$63,179	$5,896	$196,323	$199,488	$3,165	$290,266	$300,573	$10,307
Headcount	199,468	203,433	3,965	200,568	204,933	4,365	200,568	204,933	4,365	210,568	219,733	9,165

Source: BofA Global Research estimates

BofA GLOBAL RESEARCH

Actual vs Expected Results

Exhibit 6: 2Q'26 Net Revenue/EPS was above Street
Alphabet actual vs estimates ($ in millions)

2Q'26 Actual vs Street vs BofA

Alphabet Actual vs Street Results	BofA	Street	Actual	Act vs Street	Act vs BofA
Google segment Revs					
Google Search & other	$63,558	$63,296	$63,271	($25)	($287)
y/y %	*17.3%*	*16.8%*	*16.8%*		
YouTube ads	$10,776	$10,791	$11,055	$264	$279
y/y %	*10.0%*	*10.2%*	*12.9%*		
Network Revenue	$7,060	$7,142	$7,303	$161	$243
y/y %	*(4.0%)*	*(2.9%)*	*(0.7%)*		
Google Cloud Revenue	$23,213	$22,496	$24,768	$2,272	$1,555
y/y %	*70%*	*65%*	*82%*		
Subscription, platforms and devices	$13,340	$13,049	$12,911	($138)	($429)
y/y %	*19%*	*16%*	*15%*		
Other Bets Segment Revs	$343	$398	$382	($16)	$39
y/y %	*(8%)*	*7%*	*2%*		
Consolidated Gross Revenue	$118,189	$117,173	$119,796	$2,623	$1,607
TAC	$16,047	$16,254	$16,179	($75)	$132
Google Net Revenue	$102,142	$101,120	$103,617	$2,497	$1,475
y/y %	*25%*	*24%*	*27%*	*3.1%*	*1.8%*
Other cost of revenue	$28,908	$29,301	$29,764	$463	$856
Research and Development	$18,139	$17,484	$18,219	$735	$80
Sales and Marketing	$8,671	$8,216	$8,403	$187	($268)
General & Administrative	$4,634	$5,095	$6,461	$1,366	$1,827
Total Opex	$31,444	$30,784	$33,083	$2,299	$1,639
y/y %	*20%*	*18%*	*27%*	*9%*	*6%*
GAAP Operating Income	$41,791	$40,801	$40,770	($31)	($1,021)
Margin	*40.9%*	*40.3%*	*39.3%*	*-1%*	*-2%*
Core services revenue	$94,733	$94,297	$94,540	$243	($193)
Core services OI (GAAP)	$42,005	$40,532	$39,544	($988)	($2,461)
Core services margin	*44.3%*	*43.0%*	*41.8%*	*-1%*	*-3%*
Cloud OI (GAAP)	$7,660	$7,040	$8,814	$1,774	$1,154
Cloud Margin	*33.0%*	*31.3%*	*35.6%*	*4%*	*3%*
D&A	$7,382	$8,029	$7,104	($925)	($278)
SBC	$7,301	$7,164	$7,957	$793	$656
Adj EBITDA	$56,474	$55,804	$55,831	$27	($643)
Margin	*55.3%*	*55.2%*	*53.9%*	*-1.3%*	*-1.4%*
Other Income	$81,700	$770	$97,983	$97,213	$16,283
Income befoe taxes	$123,491	$42,481	$138,753	$96,272	$15,262
Taxes	$20,499	$7,560	$26,560	$19,000	$6,061
Tax Rate %	*17%*	*18%*	*19%*	*1%*	*3%*
GAAP EPS	$8.38	$2.90	$9.11	$6.21	$0.74
Diluted Shares	12,292	12,249	$12,309	60	17
Headcount	196,468	195,864	$198,933	3,069	2,465
US Gross Revenue	$58,858	$56,796	$60,846	$4,050	$1,988
EMEA Gross Revenue	$32,632	$33,780	$32,501	($1,279)	($131)
APAC Gross Revenue	$19,876	$20,057	$19,317	($740)	($559)
Other Americas Gross Revenue	$6,823	$7,092	$7,026	($66)	$203

Source: BofA Global Research estimates, Company Filings, Visible Alpha

BofA GLOBAL RESEARCH

Price objective basis & risk

Alphabet (GOOGL / GOOG)

Our price objective of $430/$430 is based on 27x 2027E core Google GAAP EPS plus cash per share. Alphabet has traded at an average multiple of 22x GAAP P/E over the last ten years, and we think our target multiple is reasonable vs history given expectations for double-digit revenue growth, Cloud margin expansion, and opportunity to capitalize on strong AI assets.

Downside risks are 1) loss of search traffic to AI tools from competitors, 2) LLM integration in search may take longer than expected or negatively impact search revenues, 3) revenue pressure from compliance with the EU Digital Markets Act (DMA), and 4) potential for increasing Capex and lower FCF-given AI investments.

Analyst Certification

I, Justin Post, hereby certify that the views expressed in this research report accurately reflect my personal views about the subject securities and issuers. I also certify that no part of my compensation was, is, or will be, directly or indirectly, related to the specific recommendations or view expressed in this research report.

US - Internet Coverage Cluster

Investment rating	Company	BofA Ticker	Bloomberg symbol	Analyst
BUY				
	Alphabet	GOOGL	GOOGL US	Justin Post
	Alphabet	GOOG	GOOG US	Justin Post
	Amazon.com	AMZN	AMZN US	Justin Post
	AppLovin	APP	APP US	Omar Dessouky, CFA
	Booking Holdings Inc	BKNG	BKNG US	Justin Post
	Chewy Inc	CHWY	CHWY US	Michael McGovern
	Digital Turbine, Inc	APPS	APPS US	Omar Dessouky, CFA
	DoorDash	DASH	DASH US	Justin Post
	DoubleVerify Holdings, Inc.	DV	DV US	Omar Dessouky, CFA
	Ethos	LIFE	LIFE US	Michael McGovern
	Expedia	EXPE	EXPE US	Justin Post
	LegalZoom	LZ	LZ US	Michael McGovern
	Life360	LIF	LIF US	Nitin Bansal, CFA
	Magnite, Inc.	MGNI	MGNI US	Omar Dessouky, CFA
	Meta Platforms Inc	META	META US	Justin Post
	Navan, Inc.	NAVN	NAVN US	Nafeesa Gupta
	Peloton	PTON	PTON US	Nafeesa Gupta
	Playtika	PLTK	PLTK US	Omar Dessouky, CFA
	Take-Two Interactive	TTWO	TTWO US	Omar Dessouky, CFA
	Tripadvisor	TRIP	TRIP US	Nafeesa Gupta
	Uber	UBER	UBER US	Justin Post
	Wayfair	W	W US	Michael McGovern
	Wix.com	WIX	WIX US	Michael McGovern
NEUTRAL				
	Airbnb	ABNB	ABNB US	Justin Post
	Carvana	CVNA	CVNA US	Michael McGovern
	Coursera Inc.	COUR	COUR US	Nafeesa Gupta
	Duolingo	DUOL	DUOL US	Omar Dessouky, CFA
	eBay	EBAY	EBAY US	Michael McGovern
	Etsy, Inc.	ETSY	ETSY US	Michael McGovern
	Instacart	CART	CART US	Justin Post
	Match Group	MTCH	MTCH US	Omar Dessouky, CFA
	Pinterest	PINS	PINS US	Justin Post
	Reddit	RDDT	RDDT US	Justin Post
	Roblox Corp. Class A	RBLX	RBLX US	Omar Dessouky, CFA
	Snap	SNAP	SNAP US	Justin Post
	StubHub Holdings	STUB	STUB US	Justin Post

US - Internet Coverage Cluster

Investment rating	Company	BofA Ticker	Bloomberg symbol	Analyst
	Unity	U	U US	Omar Dessouky, CFA
	Vivid Seats	SEAT	SEAT US	Steven McDermott
	Zillow	Z	Z US	Omar Dessouky, CFA
	Zillow Group	ZG	ZG US	Omar Dessouky, CFA
UNDERPERFORM				
	ACV Auctions	ACVA	ACVA US	Michael McGovern
	Bumble	BMBL	BMBL US	Omar Dessouky, CFA
	Cardlytics, Inc	CDLX	CDLX US	Omar Dessouky, CFA
	Ibotta	IBTA	IBTA US	Nitin Bansal, CFA
	Lyft, Inc.	LYFT	LYFT US	Justin Post
	Yelp	YELP	YELP US	Nitin Bansal, CFA
RSTR				
	Global Business Travel Group, Inc.	GBTG	GBTG US	Nafeesa Gupta

*iQ*method℠ Measures Definitions

Business Performance	Numerator	Denominator
Return On Capital Employed	NOPAT = (EBIT + Interest Income) × (1 – Tax Rate) + Goodwill Amortization	Total Assets – Current Liabilities + ST Debt + Accumulated Goodwill Amortization
Return On Equity	Net Income	Shareholders' Equity
Operating Margin	Operating Profit	Sales
Earnings Growth	Expected 5 Year CAGR From Latest Actual	N/A
Free Cash Flow	Cash Flow From Operations – Total Capex	N/A
Quality of Earnings	**Numerator**	**Denominator**
Cash Realization Ratio	Cash Flow From Operations	Net Income
Asset Replacement Ratio	Capex	Depreciation
Tax Rate	Tax Charge	Pre-Tax Income
Net Debt-To-Equity Ratio	Net Debt = Total Debt – Cash & Equivalents	Total Equity
Interest Cover	EBIT	Interest Expense
Valuation Toolkit	**Numerator**	**Denominator**
Price / Earnings Ratio	Current Share Price	Diluted Earnings Per Share (Basis As Specified)
Price / Book Value	Current Share Price	Shareholders' Equity / Current Basic Shares
Dividend Yield	Annualised Declared Cash Dividend	Current Share Price
Free Cash Flow Yield	Cash Flow From Operations – Total Capex	Market Cap = Current Share Price × Current Basic Shares
Enterprise Value / Sales	EV = Current Share Price × Current Shares + Minority Equity + Net Debt + Other LT Liabilities	Sales
EV / EBITDA	Enterprise Value	Basic EBIT + Depreciation + Amortization

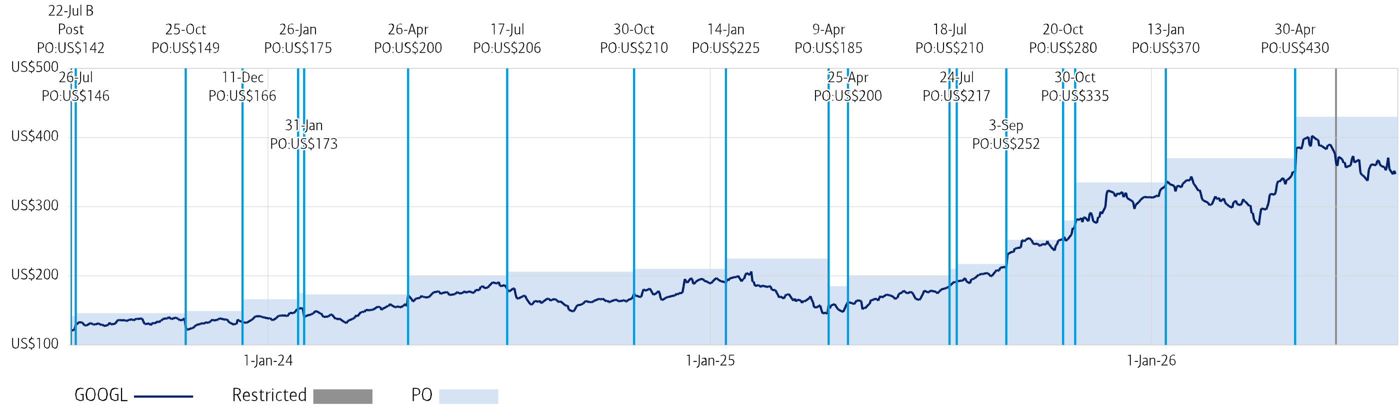
iQmethod℠ is the set of BofA Global Research standard measures that serve to maintain global consistency under three broad headings: Business Performance, Quality of Earnings, and validations. The key features of iQmethod are: A consistently structured, detailed, and transparent methodology. Guidelines to maximize the effectiveness of the comparative valuation process, and to identify some common pitfalls.

iQdatabase® is our real-time global research database that is sourced directly from our equity analysts' earnings models and includes forecasted as well as historical data for income statements, balance sheets, and cash flow statements for companies covered by BofA Global Research.

Disclosures

Important Disclosures

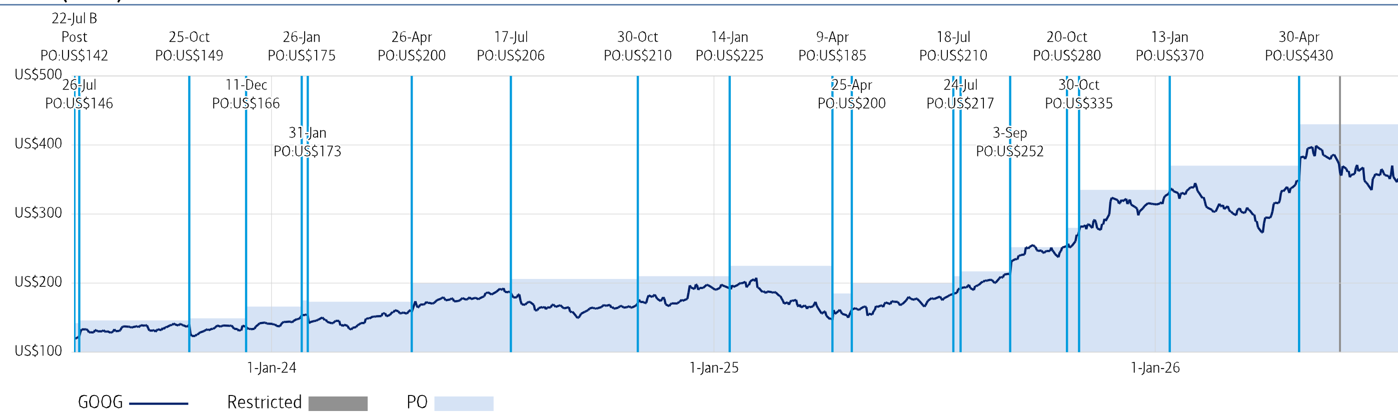
Alphabet A (GOOGL) Price Chart



B: Buy, N: Neutral, U: Underperform, PO: Price Objective, NA: No longer valid, NR: No Rating

The Investment Opinion System is contained at the end of the report under the heading "Fundamental Equity Opinion Key". Dark grey shading indicates the security is restricted with the opinion suspended. Medium grey shading indicates the security is under review with the opinion withdrawn. Light grey shading indicates the security is not covered. Chart is current as of a date no more than one trading day prior to the date of the report.

Alphabet C (GOOG) Price Chart



B: Buy, N: Neutral, U: Underperform, PO: Price Objective, NA: No longer valid, NR: No Rating

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Equity Investment Rating Distribution: Technology Group (as of 30 Jun 2026)

Coverage Universe	Count	Percent	Inv. Banking Relationships [R1]	Count	Percent
Buy	243	60.60%	Buy	123	50.62%
Hold	87	21.70%	Hold	45	51.72%
Sell	71	17.71%	Sell	21	29.58%

Equity Investment Rating Distribution: Global Group (as of 30 Jun 2026)

Coverage Universe	Count	Percent	Inv. Banking Relationships [R1]	Count	Percent
Buy	1987	56.11%	Buy	1190	59.89%
Hold	797	22.51%	Hold	496	62.23%
Sell	757	21.38%	Sell	391	51.65%

[R1] Issuers that were investment banking clients of BofA Securities or one of its affiliates within the past 12 months. For purposes of this Investment Rating Distribution, the coverage universe includes only stocks. A stock rated Neutral is included as a Hold, and a stock rated Underperform is included as a Sell.

FUNDAMENTAL EQUITY OPINION KEY: Opinions include a Volatility Risk Rating, an Investment Rating and an Income Rating. VOLATILITY RISK RATINGS, indicators of potential price fluctuation, are: A - Low, B - Medium and C - High. INVESTMENT RATINGS reflect the analyst's assessment of both a stock's absolute total return potential as well as its attractiveness for investment relative to other stocks within its Coverage Cluster (defined below). Our investment ratings are: 1 - Buy stocks are expected to have a total return of at least 10% and are the most attractive stocks in the coverage cluster; 2 - Neutral stocks are expected to remain flat or increase in value and are less attractive than Buy rated stocks and 3 - Underperform stocks are the least attractive stocks in a coverage cluster. An investment rating of 6 (No Rating) indicates that a stock is no longer trading on the basis of fundamentals. Analysts assign investment ratings considering, among other things, the 0-12 month total return expectation for a stock and the firm's guidelines for ratings dispersions (shown in the table below). The current price objective for a stock should be referenced to better understand the total return expectation at any given time. The price objective reflects the analyst's view of the potential price appreciation (depreciation).

Investment rating	Total return expectation (within 12-month period of date of initial rating)	Ratings dispersion guidelines for coverage cluster[R2]
Buy	≥ 10%	≤ 70%
Neutral	≥ 0%	≤ 30%
Underperform	N/A	≥ 20%

[R2]Ratings dispersions may vary from time to time where BofA Global Research believes it better reflects the investment prospects of stocks in a Coverage Cluster.

INCOME RATINGS, indicators of potential cash dividends, are: 7 - same/higher (dividend considered to be secure), 8 - same/lower (dividend not considered to be secure) and 9 - pays no cash dividend. *Coverage Cluster* is comprised of stocks covered by a single analyst or two or more analysts sharing a common industry, sector, region or other classification(s). A stock's coverage cluster is included in the most recent BofA Global Research report referencing the stock.

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